

twice a year, but provisions for quarterly and even monthly payments are by no means unusual. In the case of many bond issues, the bonds acquired by the sinking fund are not actually retired but are “kept alive,” *i.e.*, they draw interest, and these interest sums are also used for sinking-fund purchases, thus increasing the latter at a compounded rate.

Example: An important instance of this arrangement was supplied by the two issues of United States Steel Sinking Fund 5s, originally totaling \$504,000,000. Bonds of the junior issue, listed on the New York Stock Exchange, were familiarly known in the bond market as “Steel Sinkers.” By adding the interest on bonds in the fund, the annual payments grew from \$3,040,000 in 1902 to \$11,616,000 in 1928. (The following year the entire outstanding amounts of these issues were retired or provided for.)

Benefits. The benefits of a sinking fund are of a twofold nature. The continuous reduction in the size of the issue makes for increasing safety and the easier repayment of the balance at maturity. Also important is the support given to the market for the issue through the repeated appearance of a substantial buying demand. Nearly all industrial bond issues have sinking funds; the public-utility group shows about as many with as without; in the railroad list sinking funds are exceptional. But in recent years increasing emphasis has been laid upon the desirability of a sinking fund, and few long-term senior issues of any type are now offered without such a provision.⁸

Indispensable in Some Cases. Under some circumstances a sinking fund is absolutely necessary for the protection of a bond. This is true in general when the chief backing of the issue consists of a wasting asset. Bonds on mining properties invariably have a sinking fund, usually of substantial proportions and based upon the tonnage mined. A sinking fund of smaller relative size is regularly provided for real estate mortgage bonds. In all these cases the theory is that the annual depletion or depreciation allowances should be applied to the reduction of the funded debt.

Examples: A special example of importance was the large Interborough Rapid Transit Company First and Refunding 5% issue, due 1966, which was secured mainly by a lease on properties that belong to

⁸ During 1933 the Interstate Commerce Commission strongly recommended that railways adopt sinking funds to amortize their existing debt. The Chicago and North Western Railway thereupon announced a plan of this kind, the details of which were not particularly impres-